

ASIASS MENTORSHIP

Trade with Asiass — Analyze • Execute • Evolve

ICT & SMART MONEY CONCEPTS

LECTURE 02

Module 3: Premium and Discount Zones

Risk Disclaimer

ICT/SMC is a discretionary chart-reading methodology, not a guaranteed system. Trading leveraged instruments (forex, indices, crypto) carries a high risk of loss. This material is for educational purposes only and is not financial advice. Students should never trade with money they cannot afford to lose, and should practice on a demo account before risking real capital.



Module 3: Premium and Discount Zones

Overview

Smart money does not buy at the top of a range or sell at the bottom — it buys 'on discount' and sells 'at premium,' relative to a recent price swing. This concept gives students an objective way to judge whether an entry is well-located, using a simple Fibonacci equilibrium split.

Key Concepts

- Dealing Range — the price range between a significant swing high and swing low
- Equilibrium (EQ) — the 50% midpoint of the dealing range
- Discount Zone — the lower 50% of the range (below EQ) — the ideal area to look for buys
- Premium Zone — the upper 50% of the range (above EQ) — the ideal area to look for sells
- Entries taken against this rule (buying at premium, selling at discount) have a statistically weaker edge



Fig 3.1 — The dealing range: the space between a swing low and a swing high (and vice versa)



Fig 3.2 — Splitting the dealing range into Premium (top half) and Discount (bottom half)

How to Identify on the Chart

1. Identify the most recent significant swing high and swing low forming the dealing range
2. Apply a Fibonacci retracement from the low to the high (or use the 50% line tool) to mark equilibrium
3. Shade the zone below 50% as discount and above 50% as premium
4. Only look for buy setups when price is in discount, and sell setups when price is in premium



Fig 3.3 — A Fibonacci-based premium/discount split: 0.5 is equilibrium

Order blocks and FVGs (from Lecture 01) become much higher-probability entries when they line up inside the discount zone for buys, or the premium zone for sells — this is one of the most important pieces of confluence in the entire course.

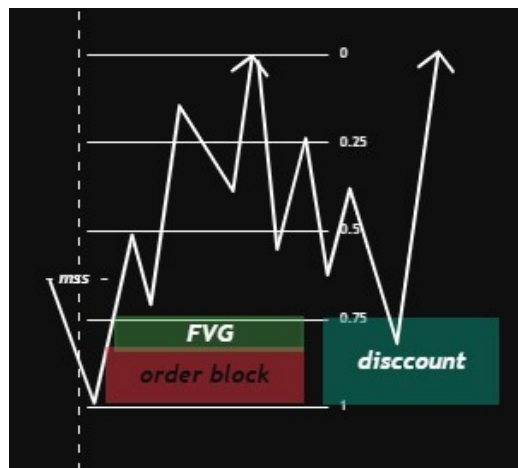


Fig 3.4 — An order block + FVG combo sitting inside the discount zone after a market structure shift (MSS)

Worked Example

USD/JPY swings from 148.00 up to 150.00. The equilibrium is 149.00. Price pulls back to 148.60 — solidly in discount. A student holding a bullish HTF bias would treat this pullback as a high-quality area to look for a bullish order block or FVG, rather than buying up near 149.90 where the trade would be located in premium.

Instructor Tip

Students often mark premium/discount once and forget to redraw it as new swings form. Emphasize that the dealing range must be updated every time a new significant high or low is created.

Practice Assignment

1. On your chosen pair, draw the current dealing range and mark premium, discount, and equilibrium
2. Find three historical instances over the past month where price reversed near the discount or premium zone
3. Find one instance where an order block or FVG from Lecture 01 lined up inside the discount or premium zone
4. Explain in one paragraph why buying in premium would have been a lower-quality entry in one of those instances

Coming Up in Lecture 03

Buy-Side and Sell-Side Liquidity, and Stop Hunts / Liquidity Grabs — how smart money engineers moves toward resting liquidity before reversing, and how to combine that with premium/discount and order blocks.